

Buyer Concessions

You've heard of seller concessions, but what about buyer concessions? (Sorry, it's still not funnel cake.) There are a host of fees and charges for selling a home, some of which are paid for by the seller, some by the buyer, and some split down the middle—think title insurance, HOA transfer fees, closing service fees, transfer taxes, and so on. Can you afford to help your seller with some of their closing costs beyond the typical fees? Offering to pay for some or all of these items can make your offer stand out.

We know what you're thinking. Why not just increase my offer amount? Well, offering more than what the property is actually worth can cause issues with appraisal, which can affect your ability to get a loan on the property. Paying some of the fees that typically fall on the seller will put more money into their pocket without your needing to worry whether the home will appraise properly.

Also, here's a surprise: Money isn't everything. It might be the most *important* thing (nobody lists their house and crosses their fingers for a lowball offer), but it's not the whole enchilada. There are ways to sweeten the deal other than just upping that purchase price.

Here are a few concessions you can make to tempt the seller into choosing your offer:

- **A flexible closing date or possession time.** The more leeway you can offer, the more opportunity there is to seal a better deal. In a seller's market, this is actually quite common—sometimes houses sell so quickly that the seller has yet to find a new place to move into.
- **An appraisal gap guarantee.** You can promise to bring the difference to the closing if the appraisal comes in low. Then your seller has one less thing that could cause the property to fall out of contract. They don't want to start over from square one either. (This is not our favorite option, as we already noted. You're effectively starting off with negative equity, and you'll need to see appreciation in order to break even.)
- **An inspection contingency.** By no means are we saying you shouldn't get an inspection. (*Always* get an inspection.) Instead, you can make it clear to the seller that you're not going to nitpick over everything in order to negotiate further on price. Essentially, you aren't going to ask for repairs on the "little things" in the inspection